Costing and marketing knowledge

White standard edition

Cost, price & marketing (links Maths).

What costs mean

A cost is what the enterprise uses or pays for its offer. Record materials or ingredients only if the chosen offer needs them. Count quantities and use one currency unit consistently. A line cost is quantity multiplied by cost each. Add line costs for the batch total, then divide by the number of usable units to find cost per unit.

Cost and price

Cost is the expense. Price is the amount charged for one unit. The group proposes a price after checking costs, customer value and permission. A price above material cost does not guarantee profit: time, waste, transport, energy or other agreed costs may also matter.

Covering the spent batch

For this simplified model, the full batch cost of £7.00 has already been spent on ten ready units. There are no other costs. At a price of £1.00 each, seven sales bring in £7.00 and cover that spent batch. Ten sales bring in £10.00, giving £3.00 surplus before any other costs. Real costs must be checked.

Invented teaching model only. These figures are not current prices, confirmed stock, actual pupil sales or a promise of profit.

Costing and marketing knowledge continued

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Invented model costings

Offer: a labelled starter-plant pot with a care card. Ten usable ready units. All costs below are invented.

Material	Qty	Cost each	Line cost
Pots	10	£0.20	£2.00
Growing medium portions	10	£0.10	£1.00
Approved starter plants	10	£0.30	£3.00
Label and care-card sets	10	£0.10	£1.00

Batch total £7.00.
£7.00 ÷ 10 = £0.70 per usable unit.
Proposed model price £1.00 each.

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Check all real costs, including agreed time, waste or other expenses. The model assumes none beyond those listed.